BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

The Brooklyn Union Gas Company d/b/a National Grid NY &
KeySpan Gas East Corporation d/b/a National Grid

Cases 19-G-0309 & 19-G-0310

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Prepared Rebuttal Testimony of
Staff Consumer Services Panel:

Chelsea Kruger
Utility Analyst 2

Adam Polmateer
Utility Consumer Assistance
Specialist 4

Magen Bauer
Utility Analyst 1

Jessica Phalen
Utility Analyst 1

Office of Consumer Services
State of New York
Department of Public Service
Three Empire State Plaza
Albany, New York 12223-1350

Q. Are you the same members of the Staff Consumer Services Panel that previously submitted direct testimony is these proceedings?

A. Yes.

Q. What is the purpose of your rebuttal testimony?

A. The purpose of our testimony is to rebut the New York City Low Income Panel's (NYC LIP) testimony addressing its proposed modifications to The Brooklyn Union Gas Company d/b/a National Grid NY (KEDNY) and KeySpan Gas East Corporation d/b/a National Grid (KEDLI) (collectively, Companies) Gas Affordability Programs, which would require that the Commission return to setting low income discounts and budgets in individual rate cases and is contrary to the Commission's current policy.

Q. Where did the Commission set out its current policy for setting low income discounts?

A. The Commission conducted a generic proceeding, Case 14-M-0565 (the Affordability Proceeding), setting forth its policy and methodology for setting low income discounts. Specifically, the Commission did this in two orders: the Order Adopting Low Income Program Modifications and

Directing Utility Filings, issued on May 20, 2016 (May 2016 Order), and the Order Granting in Part and Denying in Part Requests for Reconsideration and Petitions for Rehearing, issued on February 17, 2017 (February 2017 Order). In those orders, the Commission established a tiered level discount framework based on a level of need and each level is unique, which is determined by a formulaic approach. The discounts are further stratified by heating and non-heating participants for each service type. Additionally, the Commission set a cap on the aggregate cost of the discounts, of two percent of a utility's total revenues.

Q. How is a program budget determined under the Commission's Affordability Proceeding orders?

A. The budget is mainly a function of the size of the eligible population, and the size of the discount. As set forth on pages 29 through 32 in the May 2016 Order, budgets set in rate cases are estimates because participation levels and discount amounts may vary over the course of a rate year or rate plan. To account for this, budgets are reconciled with actual program costs

using traditional deferral accounting procedures.

Q. What modifications to the Commission's policy does the NYC LIP propose?

A. The NYC LIP proposes to dramatically increase the level of discounts for eligible customers in a manner inconsistent with the methodology set forth in the Affordability Proceeding. Further, for KEDNY, the NYC LIP proposes to exceed the cost cap.

Q. What are the NYC LIP's proposals for the tier discount levels?

A. The NYC LIP proposes that KEDNY's heating discounts be set at $59 for Tiers 1,5, and 6, $79 for Tier 2, $99 for Tier 3, and $99 for Tier 4, compared to the current discounts of $18, $37, $56, and $42, respectively. For KEDLI, the proposed discounts are $52 for Tiers 1 and 5, $72 for Tier 2, $92 for Tier 3 customers, and $51 for Tier 4, compared to the current discounts of $18, $37, $57 and $42, respectively. NYC LIP's testimony does not provide discount levels for non-heating customers, which is $3 for all tiers for KEDNY

and KEDLI.

Q. Does NYC LIP's proposed discount calculation methodology differ from what the Commission directed in the Affordability Proceeding?

A. Yes. NYC LIP's methodology, for both KEDNY and KEDLI, focuses on the incomes and household sizes of New York city residents, which deviates from the methodology approved by the Commission in the Affordability Proceeding orders, despite the NYC LIP's assertions that its proposals are consistent with those orders. Additionally, NYC LIP's proposed discount calculation methodology sets the discounts such that the budget exceeds KEDNY's two percent budget cap of $41 million, as estimated by the NYC LIP, by $18 million.

Q. Under the NYC LIP's proposal, what would the aggregate spending be for KEDLI?

A. On page 27 of its testimony, the NYC LIP estimates the aggregate cost to be $10 million, which is below the two percent budget cap of $25 million.

Q. Did the NYC LIP propose alternative monthly bill discounts, should the Commission decide to adhere to the two percent budget cap?

A. Yes. The NYC LIP proposed the discount levels for heating customer should increase by $20 across all tiers. This would result in the following monthly discount amounts for KEDNY: $38 for Tiers 1, 5, and 6; $57 for Tier 2; $76 for Tier 3; and $62 for Tier 4. NYC LIP proposes similar discount levels for KEDLI: $38 for Tiers 1, 5, and 6; $57 for Tier 2; $77 for Tier 3; and $62 for Tier 4.

Q. Has the NYC LIP also proposed changes to the Energy Affordability Program in any other proceedings?

A. Yes. The NYC LIP proposed increased discounts and budget to Consolidated Edison’s Electric and Gas Affordability Programs in the currently pending Cases 19-E-0065 and 19-G-0066 based on a similar analysis.

Q. Does the Panel agree with the NYC LIP’s proposed methodology to set the gas discount levels?

A. No. The methodology used by NYC LIP to set its proposed discount levels deviates from the Commission’s methodology by reverting to determining low income discount amounts in individual rate cases. This approach is

contrary to the what the Commission directed in the Affordability Proceeding, which is to set discounts and budgets be achieved on a statewide basis. Additionally, the City of New York petitioned the Commission for rehearing in the Affordability Proceeding. In that petition, it presented similar arguments to those the NYC LIP makes in these cases. The Commission addressed this petition in its February 2017 Order. On page 30 of the February 2017 Order, the Commission stated that it chose to reference the maximum monthly income level because it is easily identified and the utilities do not have the information needed to calculate incomes of various household sizes.

Q. What do you recommend?

A. We acknowledge that the Commission's Affordability Proceeding orders provide for future refinement to certain program areas. However, the Affordability Proceeding is a generic proceeding for all major electric and gas utilities. The February 2017 Order, on page 16, specifically states that the Commission sought to standardize these programs among

utilities to ensure that there is a more uniform, consistent approach to the design and implementation of these programs. Accordingly, we recommend that the Commission reject the NYC LIP's low income bill discount proposals in these cases and continue its policy of a generic, statewide approach, which includes opportunities for refinements where applicable and in the Commission's Affordability Proceeding.

Q. Does the Panel have any other recommendations?

A. Yes. We agree with the concept raised by the NYC LIP that expected rate increases or decreases should be accounted for when calculating the discounts. Therefore, we recommend the Companies adjust the average low income bill accordingly for any rate increase or decrease when it calculates discount levels on an annual basis.

Q. Does this conclude your rebuttal testimony?

A. Yes, at this time.